Tutorial Questions: Fraud Analysis Procedures & Functions

1. What is a financial ratio, and how can ratio analysis reveal possible fraud in financial statements?
2. How can variance analysis (difference between expected and actual values) help identify unusual transactions?
3. A company's actual expenses exceed its budget by 30%. How would you investigate this using fraud analysis techniques?
4. How is percentage analysis useful when comparing financial data across different periods?
5. Explain how average (mean) transaction values can help detect abnormal behavior.
6. What is aging analysis, and how can it uncover fraud in accounts receivable or payable?
7. How can data filtering be used to isolate suspicious transactions (e.g., high-value or duplicate payments)?
8. What is the role of sorting data (e.g., by amount or date) in identifying fraud patterns?
9. Explain how a pivot table can summarize large datasets to highlight unusual trends.
10. How can trend analysis help detect fraud over time?
11. What is regression analysis, and how can it be used to predict expected values and detect anomalies?
12. How does ratio analysis differ from percentage analysis in fraud detection?
13. Explain how a VLOOKUP (or lookup function) can help identify duplicate or suspicious records across datasets.
14. What is the purpose of joining datasets in fraud detection (e.g., linking customer data with transaction records)?
15. How can appending data from multiple sources improve fraud detection analysis?
16. What is grouping, and how does it help in identifying fraud patterns within categories (e.g., by region or user)?
17. Explain the importance of summarization in fraud detection reporting.
18. What is stratification, and how can dividing data into groups improve fraud analysis?
19. How can combining tools like filters, pivot tables, and ratios improve the effectiveness of fraud detection systems?
20. Design a simple fraud detection workflow using at least four of the following:Filter,Sort,Pivot,Ratio,Trend,Lookup,Grouping . Explain how each step contributes to identifying fraud.